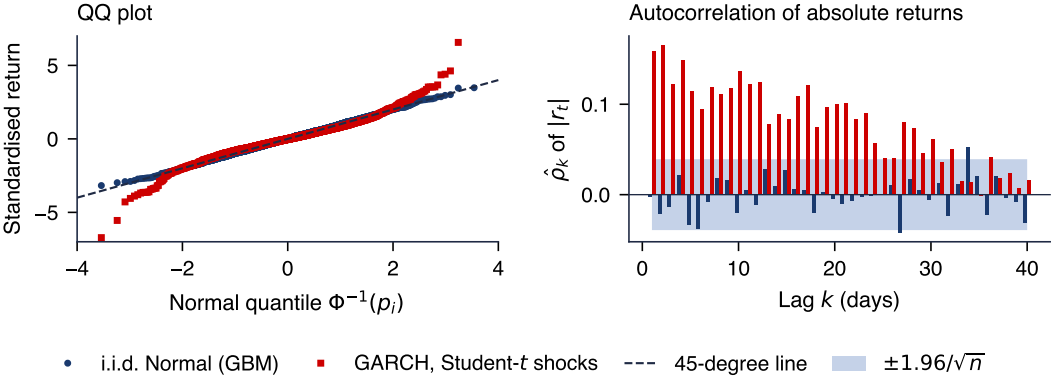

QQ plot
Standardised return
5
0
−5
−4
−2
0
2
4
Normal quantile $\Phi^{-1}(p_i)$
Autocorrelation of absolute returns
$\hat{\rho}_k$ of $|r_t|$
0.1
0.0
0
10
20
30
40
Lag k (days)
i.i.d. Normal (GBM)
GARCH, Student-t shocks
45-degree line
$\pm 1.96/\sqrt{n}$